CASE STUDY – 12

TITLE: CORPORATE GOVERNANCE & ETHICS POLICY

Example: Tata Consultancy Services (TCS)

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1. INTRODUCTION:

Tata Consultancy Services (TCS) is one of the leading IT services companies in India. It provides software, technology and consulting services to customers around the world. As a listed company, TCS has responsibilities towards its shareholders, employees, customers and business partners.

Corporate governance means how a company is managed and controlled. Business ethics means being honest, fair and responsible in business activities.

The purpose of this case study is to understand the corporate governance and ethics policy of TCS, review its main provisions and suggest ways to improve ethical business practices.

2. POLICY OVERVIEW:

TCS follows the Tata Group's ethical principles and has a Code of Conduct for directors and employees. The policy helps the company maintain honesty, transparency and accountability.

The main objectives are:

- To encourage honesty and integrity.
- To protect shareholders and other stakeholders.
- To follow applicable laws and regulations.
- To prevent fraud, bribery and unethical behaviour.
- To protect confidential company and customer information.

- ❖ To maintain trust and a good business reputation.

3. KEY PROVISIONS OF THE POLICY:

The important provisions of the corporate governance and ethics framework are:

- ➢ **Honesty and Integrity**: Employees should be truthful and avoid dishonest activities.
- ➢ **Transparency**: The company should provide correct information to shareholders and investors.
- ➢ **Accountability**: Directors and managers should take responsibility for their decisions.
- ➢ **Conflict of Interest**: Employees should not allow personal interests to affect business decisions.
- ➢ **Prevention of Corruption**: Employees should not offer or accept bribes.
- ➢ **Fair Treatment**: Employees should respect others and avoid discrimination and harassment.
- ➢ **Data Protection:** Company and customer information should be protected from unauthorized access.
- ➢ **Reporting Misconduct:** Employees should report suspected fraud or unethical behaviour through proper channels.

These rules help the company maintain ethical standards and build trust among stakeholders.

4. COMPLIANCE AND GOVERNANCE ANALYSIS:

TCS must follow applicable Indian laws, including the Companies Act, 2013, and relevant SEBI regulations for listed companies.

The company uses different practices to support compliance and good governance.

- The Board of Directors oversees major business decisions.
- Board committees review areas such as auditing and risk management.
- Internal controls help identify errors and prevent fraud.
- The Code of Conduct guides employee behaviour.
- Whistleblower channels allow employees to report suspected misconduct.
- Annual reports provide information about company performance and governance.

These practices help TCS maintain accountability and transparency. However, employees must understand and follow the policies for them to be effective.

5. POLICY EVALUATION:

Strengths

- The Code of Conduct explains expected ethical behaviour.
- Board oversight supports responsible decision-making.

- Internal controls help identify business risks.
- Reporting channels allow employees to raise concerns.
- Annual reports support transparency for investors.

Areas for Improvement

- Provide regular ethics training for employees.
- Explain policies in simple English.
- Improve employee awareness of reporting procedures.
- Continue strengthening cybersecurity and data protection.
- Review complaints and policy implementation regularly.

These improvements can help make the company's governance framework more effective.

6. BUSINESS RELEVANCE:

Corporate governance and ethics are important for the success of TCS.

Customer Trust: Ethical practices help maintain customer confidence.

- **Employee Satisfaction:** Fair treatment creates a better working environment.
- **Investor Confidence:** Transparent reporting helps shareholders understand company performance.
- **Risk Management:** Internal controls help reduce fraud and business risks.
- **Legal Compliance:** Following laws helps reduce the risk of penalties.

- **Company Reputation:** Honest business practices protect the company's image.
- **Business Growth:** Responsible decisions support long-term success.

For an IT company like TCS, protecting customer information is especially important because customers trust the company with confidential business data.

7. RECOMMENDATIONS:

The following recommendations can help improve corporate governance and ethical practices at TCS.

- Conduct regular ethics and compliance training.
- Explain company policies using simple language and practical examples.
- Make it easy for employees to report unethical behaviour.
- Protect employees who report genuine concerns from retaliation.
- Conduct regular audits to identify risks and weaknesses.
- Provide cybersecurity and data protection awareness training.
- Update policies when laws and business needs change.
- Investigate complaints fairly and take appropriate action.
- Monitor whether employees follow policies in their daily work.

These steps can improve accountability, transparency and ethical behaviour throughout the company.

8. CONCLUSION:

Corporate governance and ethics are important for the successful management of TCS. The company's governance framework and Code of Conduct help promote honesty, transparency and accountability.

Good governance helps protect stakeholders, maintain customer trust and reduce business risks. It also supports legal compliance and protects the company's reputation.

However, policies are effective only when employees and managers follow them properly. Regular training, monitoring and fair investigations can improve implementation.

In conclusion, strong corporate governance and ethical business practices help TCS maintain stakeholder confidence and achieve long-term business growth.

9. REFERENCES:

1. **TCS Code of Conduct:** https://www.tcs.com/who-we-are/governance/tata-code-of-conduct
2. **TCS Corporate Governance:** https://www.tcs.com/investor-relations/corporate-governance
3. **Tata Group Code of Conduct:** https://www.tata.com/about-us/tata-code-of-conduct